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DEPARTMENT OF COMPUTER SCIENCE AND ENGINEERING

SKILL DEVELOPMENT COURSE LAB



BUSSINESS PROPOSAL

Vardhan Garments – Affordable fashion for everyone



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1. INTRODUCTION

1.1 Company Overview

Vardhan Garments is a value-based clothing retail brand created with the mission to offer affordable, trendy, and durable garments to customers of all age groups. The core idea behind the business is to close the gap between high fashion and affordability. While premium brands offer quality at high prices and local markets offer affordability with questionable durability, Vardhan Garments aims to combine style, quality, and affordability in a single package.

The business will operate through a strategically located physical retail store supported by an integrated online presence. The product range will include men's wear, women's wear, kids' wear, ethnic collections, casual wear, office-formal collections, and accessories.

Vardhan Garments sources its products directly from textile hubs such as Surat, Tirupur, Jaipur, Ludhiana, Erode, and Mumbai, ensuring high-quality garments at competitive wholesale prices. By maintaining an efficient supply chain and reducing unnecessary middlemen, the brand passes maximum cost benefits to customers.

The business model includes:

- Retail sales
- Seasonal and festival collections
- Online ordering and doorstep delivery
- Bulk sales to hostels, small boutiques, and school communities
- Discount and loyalty programs

Through this, Vardhan Garments will create a strong identity as a reliable and customer-friendly fashion destination.

1.2 Vision and Mission

Vision

To build Vardhan Garments into a nationwide recognized affordable fashion brand that brings stylish, comfortable, and durable clothing to every household in India, irrespective of income level. Diagnostic technologies and achieving industry leadership in mobile automotive care.

Mission

These mission pillars collectively shape the operational and strategic identity of Vardhan Garments, ensuring that the brand remains rooted in affordability, quality, and customer-centric service. By prioritizing accessibility and transparent pricing, the business aims to serve diverse income groups while maintaining strong trust and reliability among customers. The integration of modern retail technologies further enhances convenience and elevates the overall shopping experience, making fashion purchasing smoother and more efficient. Through the promotion of Indian textile manufacturers, the brand contributes to local economic growth while securing a steady supply of quality products. Additionally, by cultivating a strong customer community through loyalty programs and personalized support, Vardhan Garments positions itself not just as a clothing store but as a long-term fashion partner for families.

- **To make fashion accessible**
Provide high-quality garments at prices suitable for middle-class families, students, daily wage earners, and senior citizens.
- **To create a reliable brand identity**
Ensure consistent quality, transparent pricing, and positive shopping experience.
- **To modernize local retail shopping**
Integrate digital systems like QR billing, online catalogs, home delivery, and digital customer support.
- **To support Indian manufacturing**
Promote “Make in India” by sourcing from small and medium textile manufacturers.
- **To build a strong customer community**
Introduce loyalty rewards, membership benefits, and personalized shopping support.

1.3 Business Objectives

Together, these objectives form the strategic foundation of Vardhan Garments and guide the overall direction of the business. By building a strong customer base, expanding product variety, and ensuring a powerful online presence, the company aims to strengthen its brand identity in both local and digital markets. The focus on customer satisfaction, quality assurance, and continuous product expansion ensures that the business remains competitive and relevant in an ever-evolving fashion landscape. Furthermore, maintaining financial discipline and targeting early breakeven will support long-term sustainability, enabling Vardhan Garments to grow into a trusted and scalable fashion brand that truly delivers affordable style for everyone.

The objectives of Vardhan Garments – Affordable fashion for everyone Pro are designed to ensure rapid and sustainable growth:

1. Build a loyal customer base of 1,000+ families within the first year. This will be achieved through competitive pricing, quality assurance, and outstanding customer service.
2. Develop a product catalogue of 200+ unique SKUs across men's, women's, and children's wear.
3. Reach a minimum monthly revenue of ₹2,00,000 – ₹3,50,000 in the first year.
4. Launch an online store and social media shop pages within six months to improve visibility.
5. Maintain a customer satisfaction rating above 95% through feedback systems, exchange policies, and quality control.
6. Achieve breakeven within 12–18 months through efficient operations and inventory management.
7. Expand product categories yearly, including maternity wear, winter wear, accessories, and school uniforms.

2. COMPETITIVE ANALYSIS

2.1 Industry Overview

The Indian apparel industry is one of the biggest industries globally, valued at over **₹6 lakh crore**, growing at a compound rate of **9–11% annually**. Increased fashion awareness, social media influence, affordability demands, and online shopping have shaped consumer expectations. These factors collectively highlight the tremendous potential for businesses like Vardhan Garments to thrive in the current market landscape. As customer preferences shift toward affordable yet stylish clothing, retailers who can offer quality, variety, and convenience at reasonable prices are increasingly favored over premium brands and unorganized marketplaces. The steady growth of tier-2 and tier-3 cities, combined with rising disposable incomes, has expanded the customer base for value-driven apparel brands. Additionally, the influence of social media has accelerated trend adoption, making fast-fashion cycles more dynamic and creating continuous demand for fresh collections. With both online and offline retail gaining momentum, businesses that effectively integrate multi-channel shopping experiences are well-positioned to capture a wider audience.

Key trends influencing the garment industry include:

- Increased preference for **value-for-money clothing**
- Rise of **e-commerce and hybrid retailing**
- Popularity of **fashion influencers and micro-branding**
- Growing demand for **regional and ethnic wear**
- Increasing clothing purchases during festivals and seasonal periods
- Shift toward semi-branded retail outlets in tier-2 and tier-3 cities

The industry now supports both branded and unbranded segments. Affordable garment shops that provide durable, trending fashion have gained massive popularity among middle-class families.

2.2 Major Competitors

1. Local Clothing Stores

As a result, customers often face limitations when shopping from such stores, including outdated designs, limited size options, and inconsistency in fabric quality. The absence of organized inventory management frequently leads to stock shortages or mismatched products, creating an

unpredictable shopping experience. Moreover, without proper branding or customer engagement strategies, these stores struggle to build long-term customer loyalty. In today's market, where consumers expect convenience, transparency, and service excellence, traditional family-run garment shops are unable to meet evolving expectations.

2. Branded Chain Stores (Reliance Trends, Max, FBB, Zudio)

Furthermore, larger branded chains often follow standardized designs and mass production patterns, which limits the uniqueness and cultural relevance that many Indian customers seek in their clothing choices. Their stores are typically located in malls or premium commercial areas, making them less accessible to middle-class families who prefer convenient neighborhood shopping. Additionally, the strict pricing policies, limited bargaining options, and formal store environments can create a sense of discomfort for budget-conscious shoppers. As a result, even though these brands offer superior quality, a significant portion of the population feels disconnected from them due to affordability barriers and lack of personalized service.

3. Online Marketplaces (Amazon, Meesho, Myntra, Flipkart)

Additionally, many customers struggle with the inability to physically inspect the fabric, stitching, and overall quality before making a purchase, which often leads to disappointment upon delivery. The lack of real-time assistance or personalized guidance makes it difficult for shoppers—especially those unfamiliar with online fashion trends—to choose the right products confidently. In several cases, hidden shipping charges, unreliable seller ratings, and complicated return processes further reduce trust in online marketplaces. This impersonal and sometimes unpredictable shopping environment makes customers seek more dependable, transparent, and supportive alternatives.

2.3 Competitive Positioning

Vardhan Garments positions itself as the middle ground between expensive brands and unreliable low-cost markets. Key advantages include:

1. Trendy designs updated every 30 days
2. Affordable pricing (₹150 to ₹1200 range)
3. Sourcing directly from manufacturers
4. Quality check system before display
5. Professional store setup with trial rooms
6. Online ordering with same-day delivery
7. Friendly exchange policy
8. Customer loyalty programs

This unique positioning helps the brand stand out as a reliable, modern, yet affordable fashion retailer.

3. FINANCIAL ANALYSIS

3.1 Startup Costs

3.1 Startup Costs (₹10,00,000 Total)

This allocation ensures that every essential component of the business—from store setup to branding and customer engagement—is adequately funded for a smooth and impactful launch. A significant portion of the budget is invested in high-quality initial inventory to offer customers a wide range of garments from day one, while well-planned store interiors help create an inviting and organized shopping environment. Digital tools such as POS billing and an online catalog enhance efficiency and modernize the customer experience.

Detailed allocation:

- Store rental advance – ₹1,00,000
- Store interiors – shelves, racks, lights – ₹2,00,000
- Initial garment inventory (Men/Women/Kids) – ₹4,00,000
- Branding, signage, board – ₹60,000
- POS system, billing software – ₹40,000
- Website + WhatsApp catalog setup – ₹50,000
- Marketing, flyers, banners, grand opening – ₹80,000
- Packaging materials – ₹20,000
- Miscellaneous expenses – ₹50,000

3.2 Revenue Projections (Year 1)

Assuming:

- Daily footfall: 20–40 customers
- Average bill value: ₹350–₹600
- Monthly revenue: ₹1,80,000–₹3,00,000

- Yearly revenue: **₹22 lakh – ₹36 lakh**

3.3 Expenses (Year 1)

- Salaries (2 staff) – ₹3,60,000
- Rent – ₹1,80,000
- Electricity – ₹60,000
- Restocking inventory – ₹5,00,000
- Marketing – ₹50,000
- Miscellaneous – ₹50,000

Total yearly expenses: ₹12 – ₹14 lakhs

3.4 Financial Projections

Expected yearly profit after expenses:

₹8 lakh – ₹18 lakh

Profit margin: **40–50%**

3.5 Growth Plan

These growth initiatives are designed to ensure that Vardhan Garments expands steadily while adapting to market needs and customer preferences. By introducing winter wear, denim collections, and seasonal specials, the brand can keep its product line fresh and relevant throughout the year, attracting more customers and increasing repeat purchases. Collaborating with boutique resellers will open additional revenue channels and strengthen brand visibility in nearby regions.

- Add winter wear, denim, seasonal specials
- Tie up with boutique resellers
- Introduce school uniform collections
- Launch franchise model in 3 years
- Open 2nd outlet in year 2

4. Business Analysis

4.1 Market Opportunity

India's middle-class population is rising, and most families prefer shopping from affordable stores that provide durability, designs, and value. With festivals, marriages, and seasonal shopping being regular events, garment demand remains evergreen. This gap in the market creates a strong and sustainable opportunity for businesses that can balance affordability with modern retail standards. Customers today seek not only low prices but also reliability, fresh collections, and a comfortable shopping atmosphere—qualities that are often missing in traditional garment stores. At the same time, they want the convenience of online browsing without the risks associated with purely digital platforms.

The market lacks stores that:

- Offer reasonable prices
- Maintain high-quality standard
- Frequently update stock
- Combine offline + online shopping
- Provide professional store experience

Vardhan Garments fills these gaps perfectly.

4.2 Target Market

Each of these customer groups has distinct needs and purchasing behaviors, making it essential for Vardhan Garments to maintain a diverse and flexible product range. Middle-class families look for durable everyday wear at affordable prices, while students and college youth prefer trendy, comfortable, and budget-friendly fashion options that align with current styles. Working professionals seek both formal and casual clothing that offers quality and comfort suitable for daily use.

1. Middle-class families
2. Students and college youth
3. Working professionals
4. School children
5. Senior citizens
6. rice-conscious customers

4.3 SWOT Analysis

Strengths:

1. **Affordable Pricing Strategy:**

Vardhan Garments offers high-quality garments at prices accessible to middle-class families, students, daily wage earners, and price-conscious customers. This pricing advantage allows the brand to compete strongly against both local retailers and premium fashion chains.

2. **Diverse Product Range:**

With clothing options for men, women, and children, the brand caters to entire families under one roof. The variety in designs, fabrics, and styles appeals to a broader customer base and supports year-round sales.

3. **Direct Sourcing from Manufacturers:**

Procuring inventory from major textile hubs like Surat, Tiruppur, and Jaipur ensures competitive wholesale prices, better quality control, and higher profit margins.

4. **Strong Customer-Centric Approach:**

The store aims to provide a positive retail experience with features such as trial rooms, exchange policies, loyalty rewards, and personalized customer assistance, which help build long-term customer relationships.

5. **Hybrid Retail Model (Offline + Online):**

The inclusion of a physical store, social media catalogs, and home delivery options increases accessibility and convenience, making the brand more appealing to modern shoppers.

Weaknesses:

1. **Inventory Management Challenges:**

Managing a wide range of SKUs across different sizes, categories, and seasonal trends can be complex and may lead to stock imbalances if not handled efficiently.

2. **Brand Recognition in Initial Stages:**

As a new entrant in the competitive garment industry, Vardhan Garments may take time to build strong brand awareness and customer trust.

3. **Dependence on Market Trends:**

The fashion industry is highly trend-driven. Failure to update inventory regularly may lead to unsold stock or reduced customer interest.

4. **Limited Initial Capacity:**

With a single store and limited staff in the beginning, the brand may face challenges in handling large customer volumes during festival seasons or promotional events.

5. **Seasonal Fluctuations:**

Sales may drop during off-season months, making financial planning and inventory forecasting difficult.

Opportunities:

1. **Growing Middle-Class Market:**

With India's expanding middle-class population, the demand for affordable fashion is increasing steadily. This demographic shift provides a long-term opportunity for growth.

2. **Expansion into E-Commerce:**

A dedicated website, social media store features, and integration with delivery services can help the brand reach customers beyond its physical location and increase overall sales.

3. **Festival & Seasonal Sales Booms:**

India's festival culture drives enormous demand for new outfits. Vardhan Garments can capitalize on this with special collections and offers.

4. **Scope for Product Line Expansion:**

Adding new categories such as maternity wear, winter wear, activewear, accessories, and school uniforms can help tap additional market segments.

5. **Potential for Multi-Outlet Expansion:**

Once established, Vardhan Garments can open branches in nearby towns or adopt franchising, increasing its brand footprint while boosting revenue.

6. **Increasing Preference for Regional & Ethnic Wear:**

Customers are showing greater interest in fusion wear and ethnic designs, opening an opportunity to introduce designer-style apparel at affordable rates.

Threats

1. **Intense Competition from Local Shops and Major Brands:**

Both unorganized markets and large retail chains compete strongly in the affordable apparel segment, making differentiation essential.

2. **Fluctuating Fabric and Manufacturing Costs:**

Raw material prices, transportation fees, and production expenses can rise unpredictably, impacting margins and pricing strategies.

Rapidly Changing Fashion Trends:

Trends shift quickly due to social media influence. Failing to adapt may lead to outdated stock and reduced customer interest.

3. Online Marketplace Dominance:

E-commerce platforms like Amazon, Meesho, and Myntra offer heavy discounts and vast variety, attracting a large portion of budget-conscious shoppers.

4. Economic Slowdown:

During inflation or economic instability, customers may reduce discretionary spending, directly affecting garment sales.

4.4 Marketing and Sales Strategy

Together, these marketing initiatives form a strong, multi-channel promotional strategy designed to maximize customer reach and engagement. Social media advertising on platforms like Instagram and Facebook helps the brand connect with younger audiences and fashion-conscious shoppers, while influencer reels create authenticity and widen visibility through relatable content.

- Instagram + Facebook advertising
- Influencer reels
- Local banners and flyers
- Seasonal sale campaigns
- Combo offers for families
- Membership card system
- WhatsApp Business Catalog

4.5 Operations Plan

These operational practices ensure that Vardhan Garments functions smoothly, efficiently, and consistently while maintaining high standards of customer satisfaction. Monthly inventory procurement helps the store keep up with the latest fashion trends and seasonal requirements, preventing stock gaps and ensuring customers always find fresh collections

- Procure inventory monthly
- Maintain stock register
- Quality check before display

- POS digital billing
- Home delivery system
- Feedback collection
- Staff training regularly

5. Financial Analysis

5.1 Funding Requirements

The business requires **₹10,00,000** fully allocated to store setup, inventory, branding, and digital presence. This investment is carefully structured to ensure that Vardhan Garments begins operations with a strong and sustainable foundation. A major portion of the funding is dedicated to acquiring high-quality initial inventory, which is essential for offering customers a wide variety of garments across all categories right from the launch. Store setup costs including interior design, display racks, lighting, and branding elements help create an appealing and professional shopping environment that enhances customer experience. Additionally, allocating funds for digital presence—such as a website, social media setup, and online catalog—ensures that the business is well-positioned to attract a broader audience beyond walk-in customers.

5.2 Investment Opportunity

This investment opportunity positions Vardhan Garments as an attractive and scalable venture for potential partners seeking long-term returns in the retail fashion industry. With a rapidly growing customer base and a strong demand for affordable yet stylish clothing, the business offers a stable environment for investors to participate in a high-potential, evergreen market. The 20% equity stake ensures meaningful ownership and direct involvement in the company's growth, while the profit-sharing option provides ongoing financial benefits linked to the store's performance. As the brand expands into new locations and gradually establishes itself across multiple regions, early investors stand to gain significantly from the increasing valuation and extended market reach.

Investors receive:

- 20% equity stake
- Profit share option
- Opportunity to expand into multiple outlets

5.3 Return on Investment (ROI) Estimate

These projections clearly demonstrate the strong financial potential and sustainability of Vardhan Garments as a business venture. With consistent monthly profits driven by steady customer demand and efficient cost management, the brand is positioned to generate a healthy annual return within its first year of operation. The estimated break-even period of 12–18 months highlights the viability of the business model and reflects its ability to recover initial investments in a relatively short time frame. The projected ROI of 40–55% annually emphasizes the profitability of the affordable fashion segment, where high-volume sales and recurring customers contribute significantly to revenue stability. As the store grows its customer base, expands its product portfolio, and strengthens its online presence, investors can expect profits to increase year over year.

- Monthly profit: ₹80,000–₹1,50,000
- Annual profit: ₹10–₹18 lakhs
- Break-even: 12–18 months
- ROI: **40–55% yearly**

5.4 Conclusion

Overall, Vardhan Garments is positioned to redefine the way customers perceive affordable fashion by offering a perfect balance of durability, style, and customer-friendly pricing. The business's commitment to maintaining consistent product quality, adopting modern retail practices, and understanding the evolving needs of diverse customer groups ensures that it remains competitive in an ever-changing market. With its hybrid offline–online approach, the brand can effectively reach a wider audience while continuing to deliver personalized service that builds long-term loyalty. As the company grows, its focus on innovation, customer satisfaction, and responsible sourcing will further strengthen its reputation and credibility. With a clear vision, a strong operational foundation, and an expanding product portfolio, Vardhan Garments is well on its way to becoming a leading and respected fashion destination for families across India. The business stands firm in its mission to make high-quality clothing accessible to everyone, truly living up to its promise of *Affordable Fashion for Everyone*.